

CYPRUS
REPUBLIC
OFFICE OF THE COMMISSIONER FOR PERSONAL DATA PROTECTION

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May 24, 2018

To:
General Director
GAN DIRECT INSURANCE LTD
Arch. Makarios III Avenue, 220
GAN HOUSE
Limassol

DECISION

Investigation of a complaint regarding the installation and operation of a Closed Circuit Television (CCTV) system, which records audio in the offices of GAN DIRECT INSURANCE LTD

I refer to the complaint submitted to my Office regarding the above matter and following the relevant correspondence on the subject, which concludes with your letter dated 7/2/2018, I inform you of the following:

Facts

2. In October 2017, a complaint was submitted to my Office that in the offices of GAN DIRECT INSURANCE LTD, hereinafter referred to as "the Controller," a Closed Circuit Television (CCTV) system is operating, which processes (collects, records, and maintains) image and audio data of employees and customers.
3. After checking the Registry of Files and Processing maintained by the Commissioner under the provisions of Articles 7(4) and 24(1) of the Personal Data Processing Law (Law 138(I)/2001), as amended (hereinafter "the Law"), I found that the Controller had not notified my Office of the establishment and operation of the CCTV system, in accordance with the provisions of Article 7 of the aforementioned Law.
4. In my letter dated 16/11/2017, I brought the facts to the attention of the Controller and requested that she submit (a) her comments/positions regarding the claims about the installation and operation of the CCTV system in the offices, and (b) the relevant Notification form for the CCTV system, along with the layout of the camera placements.
5. In her letter dated 22/12/2017, the Quality Director submitted the positions of the Controller, as well as the Notification form for the CCTV system, along with the layout of the camera placements. In her letter, the Controller does not dispute the installation and operation of the CCTV system, and in the relevant Notification, she is stated as the responsible processor of the CCTV system.
6. In paragraph H of the Notification, the Controller stated that a total of 32 cameras are installed in the customer service areas of the Company in Nicosia, Larnaca, Paphos, and Paralimni, in the central offices in Limassol in areas visited by customers/partners/suppliers, as well as externally around the central offices and in the server rooms.
7. In paragraph G of the Notification, the Controller stated that the purpose of operating the CCTV system is the security of the facilities from violence and the safety of personnel from potential threats, internal control (of personnel), and training and resolution of disputes at the service level.
8. Regarding audio recording, in her letter, the Controller stated that there are cameras with audio in the Company's branches in Nicosia, Larnaca, Paphos, and Paralimni and in the central offices in Limassol, in the customer service area. The reasons she claims for the need to record audio at these points are for security issues, to control who enters the company's premises and what is said because there have been incidents of vandalism and threats in the past, and because anything claimed by an

employee of the company binds the company, and in case of disagreement, reference is made to the recorded conversation for resolution of disputes. She also stated that the recording operates for control and training purposes of the personnel.

9. In her letter, the Controller does not clarify whether the data subjects (customers, employees, visitors) are informed and/or consent to the recording of their conversations.

10. In my letter dated 18/01/2018, I informed the Controller of the reasons why, based on previous decisions of my Office, as well as decisions of other European Data Protection Authorities, the processing carried out through the CCTV system, which simultaneously records image and audio, is prima facie excessive in relation to the purpose of monitoring/supervising employees and the purpose of training personnel.

11. I informed the Controller of my finding regarding the omission to submit a Notification of Establishment and Operation of a File/Commencement of Processing of the CCTV system, in accordance with Article 7 of the Law. The Notification received on 29/12/2017 was submitted at the request of my Office during the present audit and not during the substantive time.

****Installation of the CCTV System, which, as far as I have been informed, was installed at least three years ago.****

12. I finally informed the Respondent about the prima facie violation of the provisions of Article 4(1)(c), Article 7(1), and Article 11(1) of the Law, regarding the installation and operation of the CCTV system, which records audio in the customer service areas of the Respondent in Nicosia, Larnaca, Paphos, and Paralimni, and at the headquarters in Limassol, requesting her to submit her positions/views regarding the possible violation of the provisions of the Law, as well as the reasons why she believes that administrative sanctions provided for in Article 25(1) of the Law should not be imposed.

13. In her letter dated 7/2/2018, the Respondent justified her actions by claiming:

- that the CCTV system is used for the safety of employees since they handle money in every interaction with the customer/visitor and also for visits by third parties regarding claims, where there have been incidents of theft, threats, and vandalism in both cases, hence her decision to install the CCTV system,
- that the reason for including staff training in the description of the purpose was within the framework of disputes with customers, after the clarification of the case,
- that the areas housing the customer service operators in Nicosia, Limassol, Larnaca, Paphos, and Paralimni, totaling 255 sq.m., are monitored centrally by a member of the Customer Service Coordinators team,
- that the systems are not used for monitoring staff in the sense of controlling their movements, as there are no cameras in areas that do not receive visits from customers/partners/suppliers,
- that only 5 cameras operate with audio and these are located only in customer service and reception areas,
- that it is not feasible to employ trained personnel or a supervisor at each service point and that support for employees is provided through the CCTV system,
- that the existence of an automatic access control system and security personnel was incorrectly stated in the Notification and that the entrance door of the headquarters does not have a security system or scanner, something which the Respondent studied but rejected due to cost,
- that at each entry point in the branches and at the headquarters there is signage indicating that a CCTV system with audio operates within the building.

****Practices/Guidelines and Legislative Framework Related to the Case****

14. Based on the interpretation of Article 2 of the Law, image and audio data constitute personal data.

15. The recording of image and audio constitutes the processing of personal data, which in order to be lawful must comply with the provisions of the Law, and specifically Articles 4(1), 5, 7, and 11, and must meet specific conditions as defined in the aforementioned articles of the Law and in the Guidelines issued by the Commissioner for CCTV systems and for Labor Relations issues.

16. According to the provisions of Article 4(1) of the Law, "the data controller ensures that personal data –

- (a) is subject to fair and lawful processing (principle of Lawfulness),
 - (b) is collected for specified, explicit, and legitimate purposes and is not subject to further processing incompatible with those purposes (Principle of Purpose),
 - (c) is relevant, adequate, and not excessive in relation to the purposes of processing (Principle of Proportionality)
-"

17. Article 5 of the Law sets out the criteria for the lawful processing of personal data. According to Article 5(1), the processing of personal data is permitted when the data subject has given their explicit consent. Processing is also permitted without the consent of the data subject when one of the exceptions in Article 5(2) applies.

18. Based on the Guidelines of the Commissioner and the provisions of Article 11 of the Law, the data controller is obliged to post warning signs outside and inside the area being recorded, which must be clearly visible and sufficient in number, so that any person present in the area can be informed in an understandable manner about the existence of the CCTV system. These should indicate the identity of the data controller.

****Processing, the purpose of video surveillance, the recipients of the data (if any), and the rights of the data subject.****

19. A useful reference can be made to the following principles and rules as derived from the Directive of the Commissioner for Personal Data Protection in the Field of Employment Relations, the Opinions of the Article 29 Working Party, the document on Video Surveillance by the European Supervisor for Personal Data Protection, and the Directive of the Hellenic Data Protection Authority 115/2001:

19.1. Video surveillance systems that aim directly at remote monitoring of the quality and quantity of work activities are generally not permitted. Employees do not relinquish their right to privacy and personal dignity at the threshold of their workplace.

19.2. Continuous monitoring of workplaces through surveillance means infringes upon the dignity and privacy of employees. The severity of the infringement necessitates that monitoring occurs only when justified by the nature and specific working conditions and is essential for the protection of the health and safety of employees and the security of the workplaces, such as in military facilities, banks, and factories with high-risk installations.

19.3. Monitoring and surveillance in the workplace is permitted within the framework of the Law only when the employer is able to justify the legality and necessity of the monitoring and surveillance and when there is no other, less intrusive means to achieve the intended purposes. The legitimate interest invoked by the employer, to be justified, must outweigh the rights, interests, and fundamental freedoms of the employees. The recording of audio is considered particularly intrusive.

19.4. Factors that must be taken into account when weighing the legitimate interest of the data controller against the rights of the data subjects include:

- (a) the nature of the legitimate interest and whether the processing of the data is necessary for the exercise of a fundamental right or whether it serves the public interest;
- (b) the impact on the individual to whom the data relates and their reasonable expectations regarding the handling of their data, as well as the nature of the data and the manner in which it is processed;
- (c) the additional safeguards that may limit the unjustified impact on the individuals to whom the data relates, such as data minimization, enhancing transparency, and ensuring the general and unconditional exercise of the rights provided by the Law (right to information, access, rectification, and objection).

19.5. The more negative or uncertain the impact of the processing, the lower the chances that the processing will ultimately be deemed lawful. Consequently, it is advisable to explore the availability of alternative methods for achieving the objectives pursued by the data controller, which have less

negative consequences for the individual to whom the data relates.

19.6. In any case, the use of CCTV systems must comply with the Principle of Proportionality of Article 4(1)(c) of the Law, meaning that such systems must be necessary/appropriate in relation to the intended purpose, taking into account the area in which they are installed. Routine monitoring of employees through CCTV is generally not permitted as it infringes upon their privacy and dignity. In cases where specific security risks are involved in the workplace, these must be addressed with less burdensome and milder means for privacy.

19.7. The Principle of Proportionality implies that such systems may be used if the adoption of other preventive, protective, and/or security measures, which do not involve video recording, prove to be inadequate or impractical for achieving the aforementioned objectives. In other words, it is necessary to apply, in every case, the principle of appropriateness in relation to the intended purpose, which entails a "duty of minimal intervention" on the part of the data controller.

19.8. The installation of related systems as an effective tool for addressing specific risks must, in every case, be documented. The same applies to the assertion that there are no other means less burdensome for the protection of privacy that could serve these purposes, as well as that the benefits from the installation of these systems outweigh any potential adverse consequences.

19.9. Significant reference is made to the following Decisions of my Office, in which it was determined that the operation of cameras in workplaces and specifically within internal offices does not comply with the provisions of the Law, and which constitute legal precedent:

- 20/9/2010 - Decision for the deinstallation and operation of Closed Circuit Television (CCTV) in the offices of employees of TD Investments Ltd for the purposes of protecting the company,
- 10/2/2011 - Decision for the deinstallation of Cameras (CCTV) in the offices of the Bank of Cyprus,
- 28/11/2011 - Decision for the deinstallation of Cameras (CCTV) in the kitchen, in offices, and at the reception of the Holiday Inn hotel,
- 25/4/2016 - Decision for the deinstallation of CCTV in the interior of the offices of employees in an investment company and the invalidity of consent in the workplace context.

Reasoning – Findings of the audit/investigation

20. The Subject stated initially that the purpose of operating the CCTV is the security of the facilities against violence and the safety of the staff from potential threats, internal monitoring of the staff, and training and resolution of disputes at the service level. In her second letter dated 7/2/2018, she stated that the CCTV is used for the safety of employees as they handle money in every interaction with the client/visitor as well as for visits by third parties regarding claims, where there were incidents of theft, threats, and vandalism in both cases, and that the reason for including staff training in the description of the purpose was in the context of disputes with clients, following the clarification of the case.

21. Based on the previous decisions of my Office, as well as the decisions of other European Data Protection Authorities, I find that the processing carried out through the CCTV, which simultaneously records image and sound, is excessive in relation to achieving the purposes stated by the Subject for the following reasons:

21.1. The reasons cited by the Subject, namely security issues, for controlling who enters the company's premises and that the CCTV is used for the safety of employees as they handle money in every interaction with the client/visitor as well as for visits by third parties regarding claims, where there were incidents of theft, threats, and vandalism in both cases, do not constitute an acceptable purpose for the processing. Such processing requires regular and systematic monitoring of employees and customers and consequently the collection and processing of large-scale image and sound data. Continuous monitoring of employees through surveillance means infringes upon their dignity and privacy.

21.2. To address the risks cited by the Subject, I consider it feasible to use means that are less burdensome for privacy such as: checks by security personnel, alarm systems, access control systems, etc. The reason cited by the Subject in her letter that she has not installed a security system

or scanner due to cost is deemed unfounded. The installation of CCTV is equally costly as other security systems. Furthermore, the operation of CCTV is not deterrent as it does not prevent illegal entry into the premises or the commission of criminal acts, and may only be suppressive. Additionally, the legitimate interest cited by the Subject does not outweigh the rights, interests, and fundamental freedoms of the employees since in the case under consideration the requirements of paragraph 19.4 above are not met.

21.3. The monitoring/supervision and training of employees through the CCTV violates the principle of necessity and proportionality. More specifically, the Subject collects and processes more data than is required to achieve the purpose of the processing, as the use of the specific means leads to regular and systematic monitoring.

Systematic monitoring of employees.

21.4 The reasons invoked by the Respondent, namely for the control of what is said because, due to the fact that anything invoked by an employee binds the company and that the reason for including staff training in the description of the purpose was under the scope of disagreements with clients, after the clarification of the case, are not deemed satisfactory, since the achievement of the purposes of monitoring and training of staff can be achieved through less intrusive means for privacy, such as, for example, by hiring trained individuals or a supervisor in the workplace. The Respondent's claim that it is not feasible to hire trained individuals or a supervisor at each service point is not sufficiently justified and is therefore dismissed.

21.5 The Respondent's claim that the systems are not used to monitor staff in the sense of controlling their movements because there are no cameras in areas where no clients/partners/suppliers visit is unfounded, as far as I have been informed, there are surveillance cameras in the kitchen.

21.6 The recording of audio data (conversations) through the CCTV system is deemed highly intrusive to privacy, violates human dignity, and is generally prohibited in all cases. Data subjects do not expect that all their conversations will be recorded and have reasonable expectations regarding the handling of their data, as well as a reasonable expectation for the protection of their privacy. Through the recording of conversations of employees/clients/partners, the Respondent processes (becomes aware of, collects, retains) a large volume of personal data in violation of Articles 4(1)(a), 4(1)(b), and 4(1)(c). The legitimate interest invoked by the Respondent does not outweigh the rights, interests, and fundamental freedoms of the employees, clients, and partners, as the requirements of paragraph 19.4 above are not met in the case under consideration.

22. The information that the Respondent claims to provide at the entrance to the branches and the headquarters is not deemed satisfactory and compliant with the provisions of Article 11 of the Law. The Respondent has not posted warning signs within the area being recorded, only at the entrance. The signs that it claims exist at every entrance to the branches and the headquarters are not deemed sufficient in number, so that any person present in the area can be safely informed about the existence of the CCTV system. Also, as far as I have been informed, there is no information regarding the recording of audio (conversations).

23. I finally note that the Respondent failed to submit a Notification upon the establishment of the File and upon the commencement of processing for the CCTV system, as provided for in Article 7 of the Law. Had the Respondent submitted a Notification upon the establishment of the file, it would have been informed in a timely manner that the CCTV system does not comply with the provisions of the Law and would have possibly taken timely measures for compliance. This omission resulted in a prolonged state of illegality.

Conclusion - Sanctions

24. In light of the above and based on the powers conferred upon me by the provisions of Article 25(1) of the Law:

“25.-(1) Notwithstanding the provisions of Article 26, the Commissioner may impose on the data controllers or their representatives or third parties the following administrative sanctions for violation of

their obligations arising from this Law and from any other regulation concerning the protection of individuals from the processing of personal data:

- (a) Warning, with an exclusive deadline for remedying the violation,
- (b) Monetary fine of up to thirty thousand euros (€30,000),
- (c) Temporary revocation of license,
- (d) Permanent revocation of license,
- (e) Destruction of the file or cessation of processing and destruction of the relevant data.”

Having taken into account that -

1. The monitoring/supervision and training of employees through the CCTV system violates the principle of necessity and proportionality (Article 4(1)(c) of the Law), as the Respondent collects and processes more data than is required to achieve the purpose of processing, as the use of the specific means leads to the regular and systematic monitoring of employees.

the
private life, infringes

2. The recording of audio data (conversations) through the CCTV system is highly interventionist for human dignity and is carried out without any legal basis in violation of Articles 4(1)(a), 4(1)(b), and 4(1)(c) of the Law.

3. The failure to submit a Notification resulted in the perpetuation of a state of illegality for a long period of time.

I have decided to impose on the Respondent -

(1) The administrative sanction of a monetary fine in the amount of five thousand euros (€5,000)

(2) The administrative sanction of the cessation of processing and destruction of the relevant image and audio data, concerning the monitoring of employees through the CCTV system, with the exclusive deadline of six weeks from the date of this decision of mine and with relevant proof of cessation and destruction, which must be submitted to my Office within the said deadline.

25. In determining the monetary fine, I took into account as a mitigating factor the willingness of the Respondent to cooperate, and as an aggravating factor that this involves large-scale monitoring and that the cameras record audio.

Eirini Loizidou Nicolaidou
Commissioner for the Protection of Personal Data